

Trent Q3FY23 Standalone results were in line with our expectations on topline. Q3FY23 CAGR over Q1FY20 was 36%

- Revenue recorded 61% growth on YoY basis to Rs 21715.1mn aided by strong store additions and 17% LFL in Westside.
- Store count for Q3FY23 stood at 537 (~211 Westside and 326 Zudio) as against 374 last year (197 Westside and 177 Zudio). Overall sq foot for fashion stores in Q3FY23 increased by ~30% to 6.42mn (Q2FY23 Store Count was 500)
- EBIDTA** margins stood at 15.5% as against 22% YoY which attributed to higher sale from Zudio and higher store openings wherein lot of costs are front-loaded and the through-put is high but gross margins are lower.
- Raw Materials to Revenue**, due to higher contribution from Zudio, stood at 54.6% as against 48.8% YoY and 53% in Q2FY23.
- Employee Cost** too on a QoQ basis was up by 8% due to rise in number of stores.
- Depreciation:** revised estimates with respect to the useful life of certain stores, resulted in an additional depreciation charge of Rs 97mn
- PBIT margins** (ex of Indian As Impact and non-operating income) stood at Rs 2128mn as against Rs 1930mn QoQ and Rs 1990mn YoY. PBIT margins stood at 10% v/s 15% YoY and 11% QoQ
- PAT stood at Rs 1609mn up 21% YoY and -13.4% QoQ. On YoY basis PAT was aided by 146% growth in other income at Rs 730mn
- PAT CAGR over Q3FY20 is 42%**

Financial Summary Standalone

Y/E Mar (Rs mn)	FY21	FY22	FY23e	FY24e	FY24e
Netsales	20,475	38,807	76,644	94,048	111,087
% Growth	(35.6)	89.5	97.5	22.7	18.1
EBIDTA	2,926	6,983	11,300	14,495	17,399
Margins	14	18	15	15	16
PAT	(510.2)	2,598.0	5,036.7	6,129.1	7,813.8
growth (%)	(133.0)	(609.2)	93.9	21.7	27.5
EPS	(1.4)	7.3	14.2	17.2	22.0
P/E (x)	(933.6)	183.3	94.6	77.7	61.0
P/B (x)	18.9	17.5	15.0	12.8	10.7
EV/EBITDA (x)	162.6	68.8	42.6	33.1	27.4
ROCE (%)	2.3	12.9	18.5	21.9	23.3
RoE (%)	(2.0)	9.6	15.9	16.5	17.6

Source: Dalal and Broacha

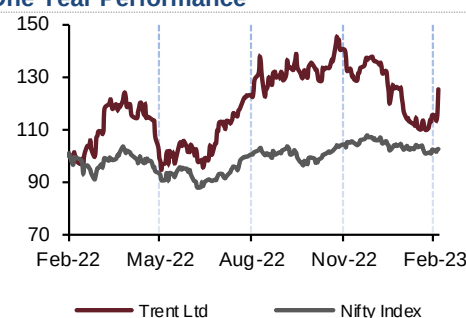
Rating	TP (Rs)	Up/Dn (%)
BUY	1,502	12

Market data

Current price	Rs	1,342
Market Cap (Rs.Bn)	(Rs Bn)	477
Market Cap (US\$ Mn)	(US\$ Mn)	5,783
Face Value	Rs	1
52 Weeks High/Low	Rs	1,571 / 980
Average Daily Volume	('000)	358
BSE Code		500251
Bloomberg		TRENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	37.01	37.01
Public	62.99	62.99
Total	100	100

Source: Bloomberg

Outlook

- **Trent's longer-term focus** is to be a "*Portfolio of Brands*" which are originated and scalable, like Westside and Zudio that are now both profitable and sustainable business models.
- **New JV** with Mas group for inner-wear and athleisure is another growth driver
- Management aim is to grow at CAGR of 25%+ and maintain atleast 10% EBIT margins (pre-Ind-As) which is being delivered consistently.

Consolidated Results

- **Revenue** grew by 54% YoY to Rs 23033.8mn (QoQ +18%)
- **EBIDTA margins stood at 14% v/s 18% YoY and 13% QoQ**
- PAT adjusted owners shares stood at Rs 1670mn +20% YoY and +80% on a QoQ basis
- Share of Profits from JV and Associates stood at Rs 288.4mn +9% YoY and +107% on a QoQ basis.

Other KTA's

- Westside Revenue LFL @+17% YoY
- Emerging Category contribute 18% to Standalone Revenue i.e beauty and personal care, innerwear and footwear (v/s 15% QoQ)
- Online Sales Westside.com, Tatacliq and Tata Neu = 6%of Revenue
- IND AS 116 impact = Rs 110mn Standalone || Rs 140mn in consolidated
- **STAR Business:** registers highest-ever quarterly revenues | 58% YoY growth
- **Chairman NOEL TATA comments:** fashion concepts have continued to register encouraging growth momentum in Q3FY23. We continue to expand our reach with vigour and reinforce our lifestyle offerings across concepts, categories, and channels.

Quarterly Financials

TRENT Particulars (Rs Mns)	Q3FY23	Q3FY22	YoY Growth	Q2FY23	QoQ Growth
Revenue	21,715.1	13,477.6	61.1%	18,136.1	19.7%
Raw Material	11,861.2	6,572.1	80.5%	9,619.0	23.3%
Employee Cost	1,599.6	847.4	88.8%	1,481.0	8.0%
Rent Exps	2,006.1	1,353.8	48.2%	1,783.1	
Other Expenses	2,892.5	1,787.2	61.8%	2,577.7	12.2%
EBIDTA	3,355.7	2,917.1	15.0%	2,675.3	25.4%
Depreciation	1,106.2	733.5	50.8%	1,043.0	6.1%
Interest	884.6	733.8	20.6%	880.1	0.5%
PBT (before O.Inc & Exceptional)	1,364.9	1,449.8	-5.9%	752.2	81.5%
Other Income	730.4	296.2	146.6%	1,680.2	-56.5%
Exceptional Items					
PBT Reported	2,095.3	1,746.0	20.0%	2,432.4	-13.9%
PAT (reported)	1,608.8	1,328.9	21.1%	1,858.5	-13.4%
Adjusted PAT	1,608.8	1,328.9	21.1%	1,858.5	-13.4%
Equity	355.49	355.49	0.0%	355.49	0.0%
EPS (on adj)	4.53	3.74	21.1%	5.23	-13.4%
Tax Rate	23%	24%		24%	
% to Revenue					
Raw Material	55%	49%		53%	
Other Expenses	13%	13%		14%	
EBIDTA Margins	15%	22%		15%	
PBIT (Ex Ind-As)	2128	1990	7%	1930	10.3%
PBIT Margins (Pre Ind-As)	10%	15%		11%	
Westside Store	211	197	7%	209	1.0%
Zudio Store	326	177	84%	241	35.3%
Other concepts	21				
Total Stores	558	374	49%	450	24.0%
CONDOLIDATED	Q3FY23	Q3FY22	YoY Growth	Q2FY23	QoQ Growth
Revenue	23033.80	14990.80	54%	19527.40	18%
EBIDTA Margins	14%	18%		13%	
PAT (owners share)	1670.00	1396.90	20%	930.20	80%
Sh of Pft/Loss of JV	288.40	264.70	9%	139.60	107%

Source: Company

Outlook and valuations

Trent SOTP Method					
Segment	Particulars	FY25	Metric	Multiple (X)	Value/ Per Share Contribution
Weside + Zudio	PAT Standalone (Rs Mns)	7814	P/E	55	429,758
Star Bazaar 50% JV	Sales (Rs Mns)	13957	P/Sales	3	41,870
Zara Trents Share 49%	PAT (Rs Mns)	1603	P/E	30	48,088
Booker India 51%	Sales (Rs Mns)	4981	P/Sales	2	9,963
Less: Debt (Rs Mns)					5,474
Add: Cash + Invest (Rs Mns) less Inv in Subs					9,590
Total Value in Mns					533,796
NO. of Shares (In Mns)					355
Value Per Share Rs					1,502
CMP					1,340
Upside					12%

Trent for Q3FY23 grew at a CAGR (over Q3FY20) of 36%+ in Revenue and 42%+ on PAT. With the aggressive store expansion, right product mix we expect this business to consistently deliver CAGR of 20%+ for couple of years.

New JV with MAS Group of Sri Lanka for design, development and manufacture of lingerie, activewear and related apparel products is also another lever of growth.

Emerging categories contributed 18% to standalone Revenue in Q3FY23 which was 15% in Q3FY22.

Trent's one quarter Revenue (i.e. Q3FY23 Revenue of Rs 21715mn) is more than its FY18 full year Revenue of Rs 20366mn. Westside reaching a run-rate of Rs 50bn indicates a strong execution capability the management has in taking the business to next level.

This aggression supported by strong balance-sheet with Net Debt-free status and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

We have revised our numbers and rolled over our estimates to FY25e and Based on our SOTP valuation we arrive at a target price of Rs 1,502 (i.e 12-15 months perspective). We believe that the down-side in the stock is limited as the company has strong sustainable business model with very high growth potential. Market volatility should be used to **"BUY"** with long-term perspective.

Financial

STANDALONE											
P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E	Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	20,475.3	38,807.3	76,644.0	94,048.4	111,086.7	Net Profit	(510.2)	2,496.3	5,036.7	6,129.1	7,813.8
Cost of sales	(17,549.1)	(31,824.5)	(65,344.0)	(79,553.6)	(93,687.3)	Add: Dep. & Amort.	2,358.7	2,830.8	4,421.5	5,143.1	5,795.0
Operating Profit	2,926.2	6,982.8	11,300.0	14,494.7	17,399.4	Cash profits (Inc)/Dec in	1,848.5	5,327.1	9,458.2	11,272.3	13,608.8
Depreciation	(2,358.7)	(2,830.8)	(4,421.5)	(5,143.1)	(5,795.0)	Sundry debtors	(72.4)	42.4	(160.1)	(73.5)	(72.1)
PBIT	567.5	4,152.0	6,878.5	9,351.6	11,604.4	Inventories	1,919.5	(4,278.8)	(7,738.0)	(3,626.4)	(3,557.1)
Other income	1,154.3	2,142.3	3,375.5	2,811.2	3,097.7	Loans/Advances	(345.2)	(688.7)	(815.8)	(1,162.0)	(1,394.4)
Interest	(2,379.8)	(2,932.7)	(3,626.7)	(3,990.6)	(4,255.9)	Current Liab and Provisions	2,428.9	(1,058.5)	4,023.1	1,924.1	1,993.7
Profit before tax	(658.0)	3,361.6	6,627.3	8,172.2	10,446.2	Change in working capital	3,930.8	(5,983.6)	(4,690.8)	(2,937.8)	(3,029.8)
Exceptional and Extra Ordinary Itc	(63.4)	(131.6)	-	-	-	CF from Oper. activities	5,779.2	(656.4)	4,767.4	8,334.5	10,578.9
PBT (Post Extra Ordinary)	(721.4)	3,230.0	6,627.3	8,172.2	10,446.2	CF from Inv. activities	(6,741.2)	(18,731.3)	(4,891.2)	(10,085.6)	(10,109.8)
Provision for tax	211.2	(733.7)	(1,590.5)	(2,043.0)	(2,632.5)	CF from Fin. activities	1,190.6	19,467.7	(268.1)	3,818.4	2,574.9
Reported PAT	(510.2)	2,496.3	5,036.7	6,129.1	7,813.8	Cash generated (utilised)	228.7	79.9	(392.0)	2,067.3	3,044.0
MI	-	-	-	-	-	Cash at start of the year	440.5	669.2	749.2	357.2	2,424.5
Adjusted PAT	(510.2)	2,598.0	5,036.7	6,129.1	7,813.8	Cash at end of the year	669.2	749.2	357.2	2,424.5	5,468.4

Balance Sheet	FY21	FY22	FY23E	FY24E	FY25E	Ratios	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	355.5	355.5	355.5	355.5	355.5	OPM	14.3	18.0	14.7	15.4	15.7
Reserves	24,803.1	26,844.9	31,312.9	36,837.7	44,011.6	NPM	(2.4)	6.3	6.3	6.3	6.8
Net worth	25,158.6	27,200.4	31,668.3	37,193.2	44,367.1	Tax rate	(32.1)	(21.8)	(24.0)	(25.0)	(25.2)
Non Current Liabilities	25,174.8	45,312.7	45,690.9	50,145.5	53,395.3	Growth Ratios (%)					
Current Liabilities	6,737.3	5,608.4	9,998.1	11,890.3	13,848.9	Net Sales	(35.6)	89.5	97.5	22.7	18.1
CAPITAL EMPLOYED	57,070.7	78,121.5	87,357.3	99,228.9	111,611.3	Operating Profit	(48.0)	138.6	61.8	28.3	20.0
Non Current Assets	41,817.4	59,588.9	63,300.7	68,246.7	71,565.7	PBIT	(82.9)	631.6	65.7	36.0	24.1
Fixed Assets	29,572.8	45,525.8	50,022.0	54,964.5	58,279.3	PAT	(133.0)	(609.2)	93.9	21.7	27.5
Non Current Investments	11,146.1	12,821.9	11,591.7	11,591.7	11,591.7	Per Share (Rs.)					
Deferred Tax Asset	1,080.1	1,225.3	1,669.5	1,669.5	1,669.5	Net Earnings (EPS)	(1.4)	7.3	14.2	17.2	22.0
Long Term Loans and Advances	18.4	15.9	17.5	21.0	25.2	Cash Earnings (CPS)	5.2	15.3	26.6	31.7	38.3
Current Assets	15,253.4	18,532.6	24,056.6	30,982.3	40,045.6	Dividend	0.6	1.7	1.6	1.6	1.6
Current investments	6,145.7	4,417.4	1,621.1	1,621.1	2,621.1	Book Value	70.8	76.5	89.1	104.6	124.8
Inventories	3,945.7	8,224.5	15,962.5	19,588.9	23,146.0	Free Cash Flow	(2.7)	(54.5)	(0.3)	(4.9)	1.3
Trade Receivables	205.7	163.3	323.4	396.9	469.0	Valuation Ratios					
Cash and Bank Balances	669.2	749.2	357.2	2,424.5	5,468.4	P/E(x)	(933.6)	183.3	94.6	77.7	61.0
Short Term Loans and Advances	749.2	261.5	164.6	197.5	237.0	P/B(x)	18.9	17.5	15.0	12.8	10.7
Other Current Assets	3,537.8	4,716.7	5,627.8	6,753.4	8,104.1	EV/EBITDA(x)	162.6	68.8	42.6	33.1	27.4
CAPITAL DEPLOYED	57,070.7	78,121.5	87,357.3	99,228.9	111,611.3	Div. Yield(%)	0.0	0.1	0.1	0.1	0.1
						FCF Yield(%)	(0.2)	(4.1)	(0.0)	(0.4)	0.1
						Return Ratios (%)					
						ROE	(2.0)	9.6	15.9	16.5	17.6
						ROCE	2.3	12.9	18.5	21.9	23.3

Source: Dalal & Broacha Research, Company

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